Finding & Recommendation

Key Findings & Recommendations

Key Findings

Our analysis of nearly 3,900 customers shows that the brand's customer base is heavily influenced by promotions, but not entirely dependent on them.

- Only **11.8% (462 customers)** are genuinely loyal customers who purchase regularly without relying on discounts.
- **33.3% (1,299 customers)** are bargain hunters who primarily purchase when promotions are available.
- Another **9.7% (378 customers)** are frequent buyers but still show strong dependence on discounts.

This suggests that while promotions are helping drive sales, a significant portion of revenue is supported by customers who may not purchase without an incentive.

The analysis also revealed that discount-dependent customers are not necessarily low value. In fact, Discount Loyal customers generate almost the same estimated lifetime value as Genuine Loyal customer. This means that removing discounts across the board could result in the loss of some of the brand's most valuable customers.

From a demographic perspective, females aged 25–34 emerged as one of the highest-value customer groups despite representing a relatively small share of the customer base. This indicates an opportunity to acquire more customers from this segment.

Geographically, Arizona and Alaska stand out as high-performing markets. Customers in these regions show strong spending behavior while relying less on promotions, suggesting stronger organic demand for the brand.

Recommendations

The brand should move away from broad, sitewide discounting and adopt a more targeted retention strategy.

First, discounts should be gradually reduced for genuinely loyal customers who already purchase without promotional incentives. Instead, these customers can be rewarded through exclusive benefits such as early access, VIP programs, and priority shipping.

Second, customers who purchase frequently but still rely on discounts should be transitioned carefully toward value-added rewards such as loyalty credits, bundles, and exclusive perks rather than immediate price reductions.

Finally, future acquisition efforts should focus on attracting customers who resemble the brand's highest-value profiles, particularly females aged 25–34 and customers in high-performing regions such as Arizona and Alaska.

By focusing on retention-driven loyalty rather than promotion-driven purchasing, the brand can improve profitability while continuing to grow a loyal customer base.

Promotional Sunset Plan

Objective

The current discount strategy is reducing margins by offering promotions to customers who would likely purchase without them. The goal is to gradually reduce discount dependency while maintaining customer retention and revenue.

Segment	Number of Customers	Recommended Strategy
Genuine Loyal	462 (11.8%)	Remove discounts and replace them with VIP benefits such as early access to collections and priority shipping.
Occasional Customers	1,761 (45.2%)	Replace flat discounts with minimum-spend offers to encourage larger basket sizes while protecting margins.
Discount Loyal	378 (9.7%)	Gradually replace discounts with value-added rewards such as bundles, loyalty credits, or exclusive perks.
Bargain Hunters	1,299 (33.3%)	Continue using targeted promotions primarily for customer acquisition and inventory movement.

90-Day Rollout Plan

Phase 1 (Days 1–30): Genuine Loyal Customers

These customers purchase regularly and rarely rely on discounts. Continuing to offer promotions to this group unnecessarily reduces profit margins.

Action

- Stop sending discount codes.

- Introduce an exclusive VIP program.
- Offer early access to new collections and priority shipping.

Expected Outcome

- Improved margins with minimal impact on sales volume.

Risk

- Some customers may perceive reduced benefits.

Success Metric

- Retention rate remains above 95%.
- Average order value remains stable or increases.

Phase 2 (Days 31–60): Occasional Customers

These customers buy periodically and show limited dependence on promotions.

Action

- Replace flat discounts with threshold-based offers.
- Example: “Spend $75 and receive 10% off.”

Expected Outcome

- Higher basket sizes and improved profitability per order.

Risk

- Some customers may reduce purchase frequency.

Success Metric

- Average basket size increases by at least 15%.
- Overall conversion rate remains stable.

Phase 3 (Days 61–90): Discount Loyal Customers

These customers purchase frequently but have become accustomed to promotional incentives.

Action

- Gradually reduce direct discounts.
- Replace price cuts with free accessories, loyalty credits, or bundled offers.

Expected Outcome

- Reduced discount dependency while preserving customer loyalty.

Risk

- Higher risk of short-term churn if discounts are removed too aggressively.

Success Metric

- Churn rate remains stable.
- Gross margin improves across the segment.

Customers Not Included in the Sunset Plan

Bargain Hunters

These customers are highly promotion-driven and show weak loyalty signals.

Rather than removing discounts, promotions should be used selectively to acquire new customers or clear inventory. Long-term retention investments should focus on higher-value segments that generate stronger repeat purchase behavior.

Note: Due to the absence of transaction-level history, promotional dependency is estimated using available promotional exposure variables rather than longitudinal purchase behavior."

Ideal Customer Profile (ICP)

Based on customer segmentation and loyalty analysis, the brand's most valuable customers share several common characteristics. These customers generate strong repeat purchase behavior, show lower dependence on discounts, and contribute higher long-term value.

Customer Characteristics

Category	Ideal Customer Profile
Age Group	Primarily females aged 25–34 and males aged 45+
Key Locations	Arizona, Alaska, and Pennsylvania
Preferred Product Categories	Clothing and Accessories
Typical Purchase Value	$60–$75 per order
Preferred Payment Methods	PayPal and Debit Card
Subscription Status	More likely to be enrolled in subscription programs
Purchase Frequency	Weekly to fortnightly purchases
Loyalty Indicators	High repeat purchase history and low promotion dependence

Importance of these Customers

These customers consistently spend more, return more frequently, and require fewer promotional incentives to make purchases. As a result, they generate higher customer lifetime value while preserving profit margins.

Marketing Recommendations

To acquire more customers like this, marketing efforts should focus on:

- Promoting product quality, convenience, and exclusivity rather than discounts.
- Highlighting benefits such as fast delivery, seamless checkout, and premium customer experience.
- Increasing localized advertising efforts in high-performing regions such as Arizona, Alaska, and Pennsylvania.
- Targeting audiences that resemble existing high-value customers, particularly female shoppers aged 25–34 and mature male shoppers aged 45+.

- Encouraging subscription enrollment through loyalty benefits and exclusive member perks.

By focusing acquisition efforts on customers who match this profile, the brand can improve retention, reduce reliance on promotions, and build a more profitable customer base over time.